FOUNDATION FOR VANCOUVER PUBLIC SCHOOLS

LEASE AGREEMENT

EFFECTIVE DATE: July 1, 2021

LESSOR:
Vancouver School District No. 37
P.O. Box 8937
Vancouver, WA 98668

LESSEE:
Foundation for Vancouver Public Schools
2901 Falk Road
Vancouver, WA 98661

RECITALS:

A. Lessor is the owner of Leased Premises as described herein.

B. Lessee desires to Lease and occupy the Leased Premises under the terms and conditions set forth herein.

C. The Board of Directors of the Lessor has determined that the Leased Premises are not currently required for school purposes and therefore constitute "surplus property" as that term is used and defined in RCW 28A.335.040.

1. **Property Leased.**

1.1 The Lessor's facility is commonly known as the "Parsley Center," located at 2901 Falk Road, Vancouver, Washington, 98661. *See* Exhibit A.

1.2 The portion of the Parsley Center which is hereby leased to the Lessee is particularly described by drawing on Exhibit B which is attached hereto and incorporated by reference herein (the "Leased Premises").

2. **Term.**

The term of this Lease is for a period of thirty (30) years, commencing on the effective date set forth above and ending at midnight on June 30, 2051. The Lessee may elect to extend the term of this Lease on the same terms and conditions for a period of an additional ten (10) years by giving reasonable notice to the Lessor that the Lessee desires to extend the term.

3. **Rent.**

3.1 **Annual Cash Rent Payments**. As rental payments hereunder, during the term of this Lease and during any extension thereof, the Lessee shall pay to Lessor the sum of One Dollar ($1.00) per year. Rent may be paid in advance.

4. **Use of Premises.**

4.1 The Lessee shall use the Leased Premises during the terms of this Lease for the business headquarters of the Foundation for Vancouver Public Schools (hereinafter referred to as "Foundation") which is a corporation organized exclusively for charitable, scientific, literary or educational purposes, within the meaning of Section 501(c)(3) of the Internal Revenue Code of 1954, as amended (the "Code"), including without limitation, facilitating the development of the educational skills of children, and supporting public education generally.

4.2 The hours of operation of the Foundation and other details concerning its staffing and other matters shall be left to the discretion of the Lessee, but shall be subject to the reasonable approval of the Lessor as to matters which affect the overall traffic to and from the Leased Premises, or which substantially impact activities of the Lessor or other users of the building and property where the Leased Premises are located.

4.3 The Lessee will not make any unlawful use of the Leased Premises; Lessee will not suffer any strip or waste thereof, or permit anything to be done on or about the premises in any way tending to create a public nuisance. Lessee represents and warrants to Lessor that hazardous substances will not be generated, stored or disposed of on the premises nor will the same be transported to or over the Leased Premises except in strict accordance with applicable laws and regulations. Lessee will hold Lessor harmless from, and indemnify Lessor against and from any damage, loss, expenses or liability resulting from any breach of this representation and warranty including all attorneys' fees and costs incurred as a result thereof.

4.4 Lessee shall comply at Lessee's own expense with all laws and regulations of any municipal, county, state, federal or other public authority respecting the use of the Leased Premises.

5. **Utilities, Telecommunication and Computer Network Services.**

5.1 In consideration of the Lessee promising to provide community resources to benefit the Lessor and to carry out its activities for the benefit of students enrolled in the district, the Lessor agrees to provide the Lessee operational support in the form of no cost utilities, office equipment, telephone service and the use of audio-visual equipment and furnishings that are reasonably required for the Lessee to carry out its obligations.

5.2 The Lessor agrees to permit the Lessee to have no-cost access to the Lessee's existing high-speed telecommunication services, and to allow Lessee to link its computers into the Lessor's existing computer network via a subnet or other suitable method. The precise method of access and the terms of Lessee's use of such services shall be subject to the Lessor's reasonable control and regulation, and Lessee's shall comply with Lessor's rules and regulations in that regard.

5.3 The Lessor and the Lessee agree that the value of Lessee's services shall be quantified by the Lessee and provided to the Lessor, annually by September 30th.

6. **Maintenance, Repairs and Improvements.**

6.1 The Lessee shall provide for all maintenance and maintenance costs related to the interior of the Leased Premises, including but not limited to repair and maintenance of all interior walls, partitions, windows, floor coverings and light fixtures.

6.2 The Lessor shall not be required to make any repairs, alterations, additions, or improvements to or upon the Leased Premises during the term of this Lease, provided however, that the Lessor shall be responsible for the repair and maintenance of all exterior and structural components (including roofs) of the building in which the Leased Premises are located as well as all HVAC systems, elevators, utility lines and other related systems which serve the Leased Premises and the building wherein the Leased Premises are located.

6.3 The Lessee hereby agrees to maintain the Leased Premises in a safe and reasonable condition, keeping in mind the purposes of this Lease.

7. **Lessee's Use of Parking.**

7.1 Lessee's employees, staff and clients shall be permitted to use parking lot areas that are located adjacent to the Leased Premises. Use of parking facilities shall be subject to reasonable rules and regulations adopted by the Lessor from time to time, so long as Lessee's employees, staff and clients are allowed to use and occupy parking areas and spaces in the same manner and on a non-discriminatory basis with employees and staff of Lessor and other persons using the building and facilities where the Leased Premises are located.

7.2 Lessor, Lessor's agents and representatives shall have the right to enter into or upon the Leased Premises, at any reasonable time, for the purpose of examining into the condition thereof, or any other lawful purpose.

8. **Right of Assignment**.

8.1 The Lessee will not assign or transfer this Lease, or any interest herein, or permit any other person or persons whomsoever to occupy the Leased Premises without the written consent of the Lessor being first obtained in writing.

8.2 Consent by Lessor to the assignment or subleasing shall not be unreasonably withheld, and which consent will be given if the assignee of the lease is a non-profit agency with substantial experience in providing the programs described in paragraph 6.1. No assignment or sublease, or consent thereto by Lessor, shall relieve Lessee, either wholly or partially, from the obligations of Lessee to Lessor under this Lease.

9. **Liens**.

The Lessee will not permit any lien of any kind to be placed upon the improvement or on the Leased Premises.

10. **Signage**.

The Lessee shall have the right to install one or more suitable signs on the Leased Premises, subject to the prior written consent of the Lessor, which consent shall not be unreasonably withheld. All signs must meet applicable building and zoning codes, and Lessor makes no warranty regarding the Lessee's ability to erect or post any particular type or size of sign.

11. **Insurance/Indemnity**.

11.1 During the existence of this lease, the Lessee agrees to carry and maintain at its expense the following insurance to cover its operation and employees:

11.1.1 Workman's compensation required by the laws of the State of Washington.

11.1.2 Comprehensive general liability with coverage limits not less than $1,000,000.00 and an aggregate of $2,000,000.

11.2 Casualty insurance (lessee's policy) insuring the value of the Lessee's improvements and personal property in an amount equal to the full insurable value thereof. In the event of a casualty loss, the Lessee shall forthwith repair, replace, or rebuild the damaged premises or property to the extent that such can be accomplished by use of the proceeds received as a result of such loss. Such repair, replacement, or rebuilding shall be in accordance with plans developed by Lessee and approved by Lessor, whose approval will not be unreasonably withheld. If the proceeds shall be inadequate to pay the cost of the proposed repair, replacement, or rebuilding, the plans shall be modified so that the cost thereof does not exceed the proceeds, or in the alternative, Lessee shall pay the excess costs thereof. Notwithstanding the above, if the casualty loss should exceed 50% of the Insurable value of the improvements, Lessee may elect to terminate this Lease by giving written notice of such election within six (6) months following the date of the casualty loss. In the event of termination, a portion of the proceeds shall be paid to the Lessor in that amount required for the reasonable costs of removing the residue of the damaged premises and restoring the land, including landscaping thereof, to a condition comparable to the Lessor's adjacent property. The remainder thereof shall be paid to the Lessee.

11.3 Further, upon request, the Lessee shall deliver to the Lessor certificates from the Lessee's insurers, evidencing the above referenced coverage in paragraphs 11.1.1 – 11.1.2 above, and provide thereon that the coverage they represent shall not be modified or terminated without fifteen (15) days prior notice to the Lessor. To the extent permitted by the issuing insurance company or companies, Lessor shall be shown as an additional insured on all of the foregoing policies.

11.4 Lessee agrees to and shall indemnify and hold Lessor harmless against any and all claims and demands arising from the negligence of the Lessee, Lessee's officers, agents, invitees, and/or employees, as well as those arising from Lessee's failure to comply with any covenant of this Lease on Lessee's part to be performed, and shall at Lessee's own expense, defend the Lessor against any and all suits or actions arising out of such negligence, actual or alleged, and all appeals therefrom and shall satisfy and discharge any judgment which may be awarded against Lessor in any such suit or action.

12. **Personal Property Taxes**.

Lessee shall be responsible for payment of all personal property taxes assessed against Lessee's personal property during the term of this Lease, if any.

13. **Eminent Domain**.

In case of the condemnation or appropriation of all or any substantial part of the Leased Premises by any public or private corporation under the laws of eminent domain, this Lease may be terminated at the option of the Lessee on twenty (20) days written notice to the Lessor. The parties shall divide any condemnation proceeds based upon their respective interests in the Leased Premises. Condemnation of the Leased Premises by the Lessor shall not relieve the Lessor of the obligation to pay the termination fees specified in Section 28 below.

14. **Environmental Compliance/Indemnity**.

Lessee shall comply with all applicable federal, state, and local environmental laws, regulations, and/or ordinances, including, but not limited to the production, transportation and disposal of hazardous, toxic or polluting substances. Lessee shall not discharge or permanently store any toxic, hazardous or polluting substances on the Leased Premises. Lessor shall hold Lessee harmless for all claims; including attorney's fees, arising from environmental contamination or hazardous substance that exist on or under the Leased Premises as of the effective date. Lessee shall hold Lessor harmless for all claims, including attorney's fees, arising from environmental contamination or hazardous substances that result from Lessee's activities on the Leased Premises or as a result of any third party interaction with Lessee's operations on the Leased Premises.

15. **Delivering Up Premises on Termination**.

At the expiration of the term or upon any sooner termination thereof, the Lessee will quit and deliver up the Leased Premises and all future erections or additions to or upon the same to the Lessor or those having Lessor's estate in the premises. Lessee shall be permitted to remove its trade fixtures and personal property upon termination of this Lease, but all permanent improvements shall become the property of the Lessor upon the termination of this Lease.

16. **Attachment, Bankruptcy, Default**.

If the Lessee shall be in arrears in the payment of the rent or if the Lessee shall fail or neglect to do, keep, perform or observe any of the covenants and agreements contained herein, and such default shall continue for ninety (90) days or more after written notice of such failure or neglect shall be given to Lessee, or if the Lessee shall be declared bankrupt or insolvent according to law, or if any assignment of Lessee's property shall be made for the benefit of creditors, or if on the expiration of this Lease, Lessee fails to surrender possession of the Leased Premises, then and in either of said cases or events, the Lessor or those having Lessor's estate in the premises, immediately or at any time thereafter, without demand or notice, may enter into and upon the Leased Premises and repossess the same and expel the Lessee and those claiming by, through and under Lessee and remove Lessee's effects at Lessee's expense, forcibly if necessary and store the same, all without being deemed guilty of trespass and without prejudice to any remedy which otherwise might be used for arrears of rent or preceding breach of covenant.

17. **Dispute Resolution**.

17.1 In the event of a dispute between the Parties concerning any matters arising under this Agreement, the Parties shall first attempt to negotiate a settlement of such a dispute between themselves. Absent such a settlement, such dispute shall be considered by a three-member mediation panel ("Mediation Panel"). The Parties shall each appoint a member to the Mediation Panel and the third member shall be the Superintendent of Educational Services District 112. A decision of the Mediation Panel shall be nonbinding and inadmissible in any arbitration or litigation.

17.2 If the Mediation Panel does not resolve the issue to the satisfaction of either or both Parties, either Party may seek resolution of the dispute through litigation, the venue of which shall be in the Clark County Superior Court.

17.3 Nothing in this Agreement shall impair a Party's right to seek injunctive relief from the Clark County Superior Court if immediate and irreparable injury, loss or damage to any rights arising from this Agreement will occur before the mediation described in this Section can be conducted.

17.4 In the event of litigation, the parties shall have the right to seek all remedies available at law or in equity, including but not limited to termination of this Agreement for material breach, including but not limited to a failure to perform obligations set forth in Sections 3, 4, 5 and 6 herein.

18. **Holding Over**.

In the event Lessee for any reason shall hold over after the expiration of this Lease, such holding over shall not be deemed to operate as a renewal or extension of this Lease, but shall only create a tenancy from month to month which may be terminated at will at any time by the Lessor.

19. **Attorney Fees and Court Costs**.

In case suit, dispute resolution action or arbitration is instituted to enforce compliance with any of the terms of this Lease, or to collect the rental which may become due hereunder, the prevailing party shall be entitled to such sums as the trial court, mediation panel or arbitrator may adjudge reasonable as attorney's fees in such suit, action or arbitration and in the event any appeal is taken from any arbitration, judgment or decree in such suit, action or arbitration, the losing party agrees to pay such further sum as the court shall adjudge reasonable as the prevailing party's attorney's fees on such appeal. The losing party also agrees to pay and discharge all of the prevailing party's costs and expenses, including reasonable attorney's fees, that shall arise from enforcing any provisions or covenants of this Lease even though no suit or action is instituted.

20. **Waiver**.

Any waiver by the Lessor of any breach of any covenant herein contained to be performed by the Lessee shall not be deemed as a continuing waiver, and shall not operate to bar or prevent the Lessor from declaring a forfeiture for any succeeding breach, either of the same condition or covenant or otherwise.

21. **Notices**.

21.1 Any notice required by the terms of this Lease to be given by one party hereto to the other or desired so to be given, shall be sufficient if in writing and mailed by certified or registered mail with postage prepaid, and if intended for the Lessor herein then if addressed to:

Vancouver School District No. 37
Attn: Superintendent
P.O. Box 8937
Vancouver, WA 98668

and, if intended for the Lessee, then addressed to:

Foundation for Vancouver Public Schools
Attn: Executive Director
P.O. Box 6039
Vancouver, WA 98668

21.2 Any such notice shall be deemed conclusively to have been delivered to the addressee thereof forty-eight (48) hours after the deposit thereof in the United States mail. The above addresses can be changed at any time, following written notice of such change.

22. **Heirs and Assigns**.

All rights, remedies and liabilities herein given to or imposed upon either of the parties hereto shall inure to the benefit of and bind the heirs, executors, administrators, successors and, so far as this Lease is assignable by the terms hereof, to the assigns of such parties.

23. **Recording.**

Either party shall have the right to record this Lease or in lieu thereof a memorandum of lease.

24. **Corporate Authority.**

If Lessee is a corporation, each individual executing this Lease on behalf of Lessee represents and warrants that he or she is duly authorized to execute and deliver this Lease on behalf of Lessee, in accordance with a duly adopted resolution of the Board of Directors of Lessee and in accordance with the laws of the State of Washington, and that this Lease is binding upon Lessee in accordance with its terms. At Lessor's request, Lessee shall, within thirty (30) days after execution of this Lease, deliver to Lessor a certified copy of a resolution of the Board of Directors of Lessee authorizing or ratifying the execution of this Lease.

25. **Interpretation.**

In construing this Lease, it is understood that the Lessor or the Lessee may be more than one person; that if the context so requires, the singular pronoun shall be taken to mean and include the plural, the masculine, the feminine and the neuter, and that generally all grammatical changes shall be made, assumed and implied to make the provisions hereof apply equally to corporations and to individuals.

26. **Applicable Law and Venue.**

This Lease shall be governed by and construed in accordance with the laws of the State of Washington and in the event of any litigation arising out of this Lease, the parties hereto stipulate and agree that the venue of any such action shall be laid in Clark County, Washington.

27. **Cooperative Efforts - No Business Relationship Created.**

It is the intention of the Lessor and the Lessee that they shall cooperate together in order to allow the Lessee to provide services to school-age children within Vancouver Public Schools. One goal of such services will be to address issues which may interfere with the ability of Vancouver School District students to take full advantage of educational opportunities offered by the District. However, the parties agree that the actual nature and scope of the services to be provided by the Lessee shall be solely to support the educational, vocational, social and cultural endeavors of students enrolled in Vancouver Public Schools, especially in those areas which lack public funding, including the payment of expenses necessarily incident thereto; providing administrative support services to Vancouver School District including but not limited to coordinating activities for district school sites; grant facilitation; fiscal management and accounting for individual school and program accounts; and to tender to the Lessor, upon request, all donations it may receive wherein the donor names the Lessor as recipient, and to be responsible for and account for in its own records all donations wherein the donor names the Foundation as a recipient. The Lessee shall not hold itself out as an agent or other representative of the Vancouver School District, and all communications, both written and oral, shall identify the Lessee as a separate entity from the Lessor.

28. **Early Termination.**

Lessor and Lessee acknowledge the requirements of RCW 28A.335.040 which requires that the Lessor be permitted to recapture the Leased Premises should such property be needed for school purposes. Therefore, the parties hereto agree that the Lessor may cancel this Lease upon not less than one (1) year advance written notice in the event that the Lessor determines that the Leased Premises are necessary for school purposes, based upon findings that programs vital to the current needs of the Lessor cannot be conducted except by use of the Leased Premises. Upon such early termination as described herein, the Lessor shall succeed to the Lessee's ownership of all leasehold improvements, but the Lessee shall be permitted to remove all of its trade fixtures, personal property and related items.

29. **Continuous Occupancy.**

The Lessee shall maintain continuous use of the premises. In the event of a vacancy of the facility for a period of one hundred eighty (180) days, Lessor may terminate the lease by giving one hundred eighty (180) days written notice, said vacancy having continued throughout the period of such notice. Vacancy means no scheduled Lessee activities are being conducted on or out of the premises.

30. **Entire Agreement**.

This Lease contains the entire agreement between the parties and cannot be changed or terminated except by a written instrument subsequently executed by the parties hereto. No prior negotiation or correspondence between these parties shall be deemed to modify or amend any term of this Lease.

IN WITNESS WHEREOF, the respective parties have executed this instrument this_____day of _____2021.

LESSOR
VANCOUVER SCHOOL DISTRICT NO. 37

By: _____

Title: _____

STATE OF WASHINGTON)
) ss
County of Clark)

I certify that I know or have satisfactory evidence that _____is the person who appeared before me and said person acknowledged that they signed this instrument, on oath stated that they were authorized to execute the instrument and acknowledged it as the _____of Vancouver School District No. 37, to be the free and voluntary act of such party for the uses and purposes mentioned in the instrument.

DATED this _____ day of _____, 2021.

_____
Notary Public for the State of Washington
Residing at: _____
Commission Expires: _____

LESSEE
FOUNDATION FOR VANCOUVER PUBLIC SCHOOLS

By: Cindy Luckman

Title: President, Foundation for Vancouver Public Schools

STATE OF WASHINGTON)
) ss
County of Clark)

I certify that I know or have satisfactory evidence that Cindy Luckman is the person who appeared before me and said person acknowledged that they signed this instrument, on oath stated that they were authorized to execute the instrument and acknowledged it as the President of Foundation for Vancouver Public Schools, to be the free and voluntary act of such party for the uses and purposes mentioned in the instrument.

DATED this 10 day of May, 2021.

Jennifer Anderson
Notary Public for the State of Washington
Residing at: Clark County
Commission Expires: 9.6.2022

JENNIFER ANDERSON
Commission Expires
09-06-2022
NOTARY
PUBLIC
License Number 173502
STATE OF WASHINGTON

EXHIBIT A

MINISTER-GLAESER
SURVEYING INC.

(360) 694-3313
FAX (360) 694-8410
2200 E. EVERGREEN
VANCOUVER, WA 98661

May 18, 2010

ADJUSTED TPN 030790-250:

A portion of the Joseph Durgan DLC and the George Ernst DLC in the Northeast quarter of Section 24, Township 2 North, Range 1 East, W.M., City of Vancouver, Clark County, Washington, described as follows:

Beginning at a concrete monument with a brass disk in a monument box at the intersection of N.E. Plomondon Street and E. Falk Road, said monument bears South 65°22'44" West, a distance of 1434.77 feet from a concrete monument a brass disk in a monument box at the intersection of N.E. Plomondon Street and E. Kiggins Avenue;

Thence North 65°22'44"East, along the centerline of said Plomondon Street, for a distance of 30.00 feet to the Southerly extension of the East right-of-way line of E. Falk Road;

Thence North 23°48'04" West, along said Southerly extension, for a distance of 30.00 feet to the North right-of-way line of N.E. Plomondon Street and the **TRUE POINT OF BEGINNING;**

Thence continuing North 23°48'04"West, along said East right-of-way line, for a distance of 362.88 feet;

Thence North 66°17'14" East, for a distance of 900.84 feet;

Thence South 00°08'30" West, for a distance of 30.78 feet;

Thence North 89°46'26" East, for a distance of 122.89 feet;

Thence South 00°10'26" West, for a distance of 297.26 feet to the North right-of- way line of N.E. Plomondon Street;

Thence South 65°22'44" West, for a distance of 880.28 feet to the **TRUE POINT OF BEGINNING.**

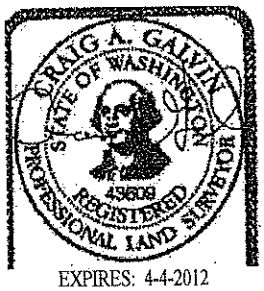
EXHIBIT A

Thence South 00°08'30" West, for a distance of 257.32 feet; Thence South 84°12'23"East., for a distance of 218.86 feet; Thence South 00°08'30" West, for a distance of 209.47 feet;

Thence South 66°17'14" West, for a distance of 900.84 feet to the **TRUE POINT OF BEGINNING.**

This parcel of land containing 12.57 Acres, more or less.

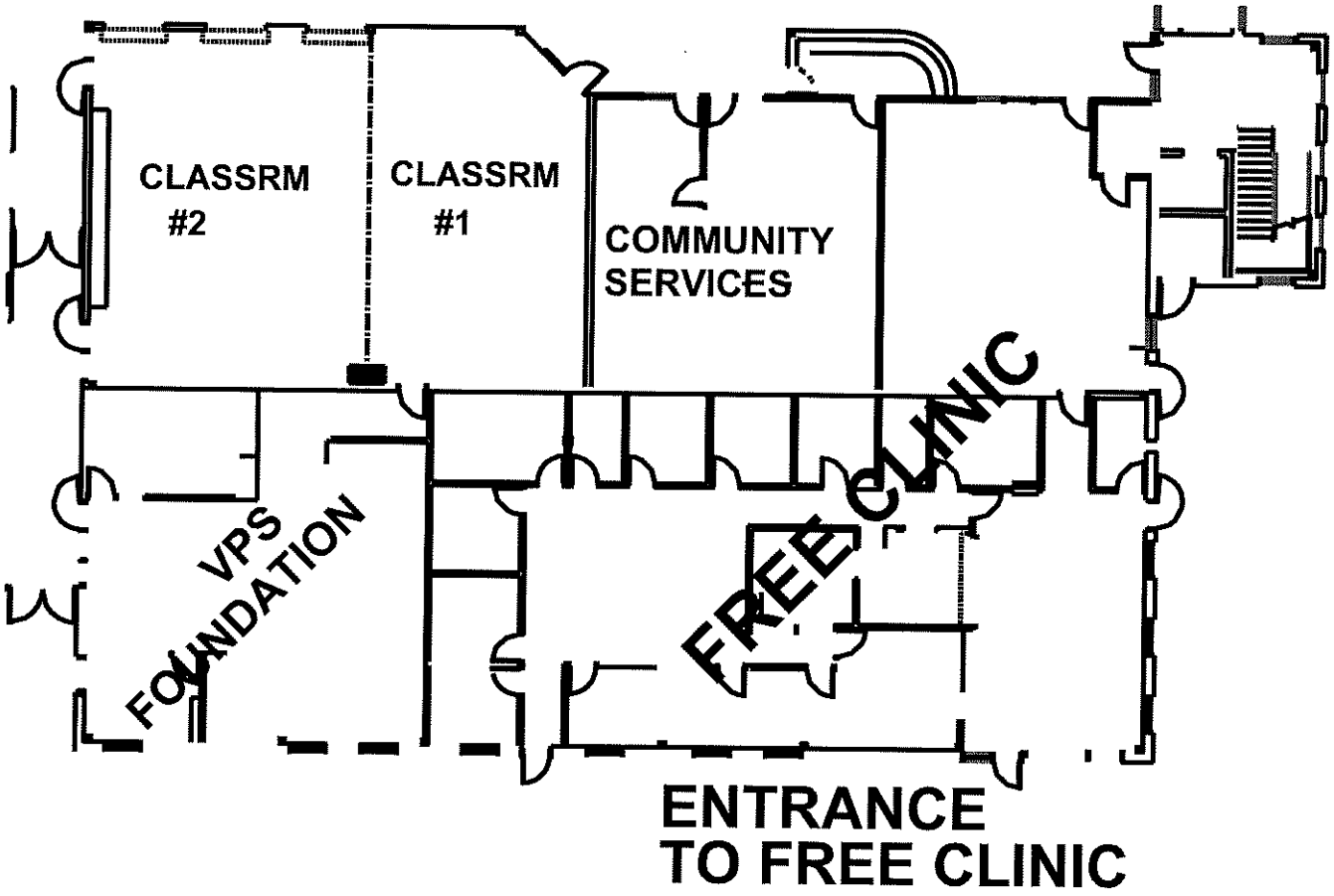
Together with and subject to easements, reservations, covenants and restrictions apparent or of record.



EXPIRES: 4-4-2012

5-18-10

EXHIBIT B


CLASSRM
#2
CLASSRM
#1
COMMUNITY
SERVICES
VPS
FOUNDATION
FREE CLINIC
ENTRANCE
TO FREE CLINIC